



IIT ROORKEE



NPTEL ONLINE  
CERTIFICATION COURSE

# PRINCIPLES OF MANAGEMENT

**Dr. Usha Lenka**

*Professor, Department of Management Studies, IIT Roorkee*



# CONTENTS

- Learning objectives and outcomes
- Need for **management**
- Who are **managers**
- **Managerial levels**
- What is **management**
- What managers **do** (functions, roles and skills)
- How managers job is changing
- Where managers work: **organizations**
- Why study management (universality and cost/rewards of manager)

**Contemporary** business  
situation and need for  
MANAGEMENT

**Nature** and  
purpose of  
management

**Concept** of efficiency and  
effectiveness

**Managers**—Functions,  
classification, roles and  
skills

**Value** of studying  
management

# LEARNING OBJECTIVES

# Learning Outcomes

- The course prepares men and women for a challenging and rewarding career in management.
- It gives learners a global management and entrepreneurial perspective.
- It provides fundamental knowledge of management principles, concepts, and theories to develop global business leaders.

# LEARNING OUTCOMES

## •Who Are Managers?

- 1. Explain how managers differ from non-managerial employees.
- 2. Describe how to classify managers in organizations

## What Is Management?

1. Define management.
2. Explain why efficiency and effectiveness are important to management.

## What do Managers Do?

1. Describe the four functions of management.
2. Explain Mintzberg's managerial roles.
3. Describe Katz's three essential managerial skills and how the importance of these skills changes depending on managerial level.

# ROLE OF MANAGEMENT

1. Traditional Vs Contemporary Business environment

2. Characteristics of contemporary business environment:

- ❖ **Turbulence** and demand for **continuous change**
- ❖ **Uncertainty** and **unexpected events**
- ❖ **Technological** advancements
- ❖ Global **economic, political, and social shift**
- ❖ Finding **alternative ways of working**
- ❖ **Lifelong learning** opportunities for employees
- ❖ Fostering **creativity** and **innovation** at workplace
- ❖ Creating a **collaborative** and **productive workforce**

3. Shifting focus of Management from **MAINSTREAM** orientation (profit maximization) to **MULTISTREAM** orientation (responsibility to all stakeholders).

# DEFINITION OF MANAGEMENT : NATURE AND PURPOSE

- **Management** involves coordinating and overseeing the work activities of others so that their activities are completed *efficiently* and *effectively*.
- The process of designing and maintaining an environment in which individuals, working together in groups efficiently accomplish selected aims.

# Basic Definition of Management

- As managers, people carry out the managerial functions of planning, organizing, staffing, leading, and controlling.
- Management applies to any kind of organization.
- It applies to managers at all organizational levels.
- The aim of all managers is the same: to create a surplus.
- Managing is concerned with productivity, which implies effectiveness and efficiency.

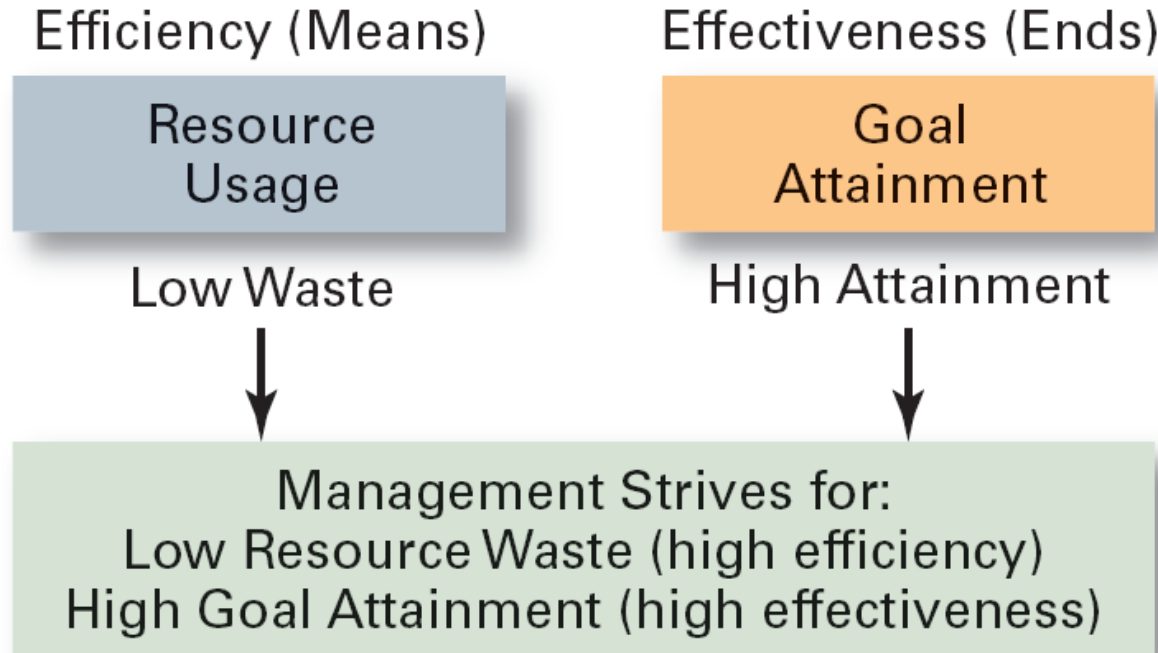


# OBJECTIVE OF MANAGEMENT (contd..)

- Managerial Concerns
  - **Efficiency**
    - “Doing things right”
      - Getting the most output for the least inputs
  - **Effectiveness**
    - “Doing the right things”
      - Attaining organizational goals



# OBJECTIVE OF MANAGEMENT (contd..)



**Source:** Robbins, S.P. and Coulter, M. (2012), *Management*, Prentice Hall, New Jersey, USA.

# WHO ARE MANAGERS

## Manager

- Someone who coordinates and oversees the work of other people so that organizational goals can be accomplished.
- Has status (Tells others what to do)
- Power (Earns more money than workers)
- Influence (Have a chance to make difference in other peoples lives)



# WHO ARE MANAGERS (contd...)

## Classifying **Managers**

- **First-line Managers**
  - Individuals who manage the work of non-managerial employees.
- **Middle Managers**
  - Individuals who manage the work of first-line managers.
- **Top Managers**
  - Individuals who are responsible for making organization-wide decisions and establishing plans and goals that affect the entire organization.

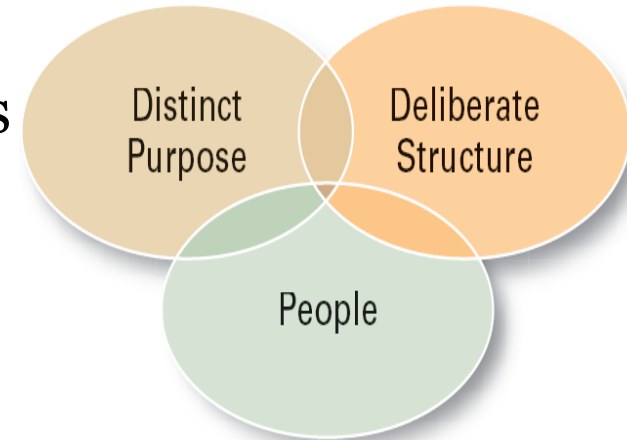
# WHERE MANAGERS WORK: ORGANIZATIONS

Organization is defined as:

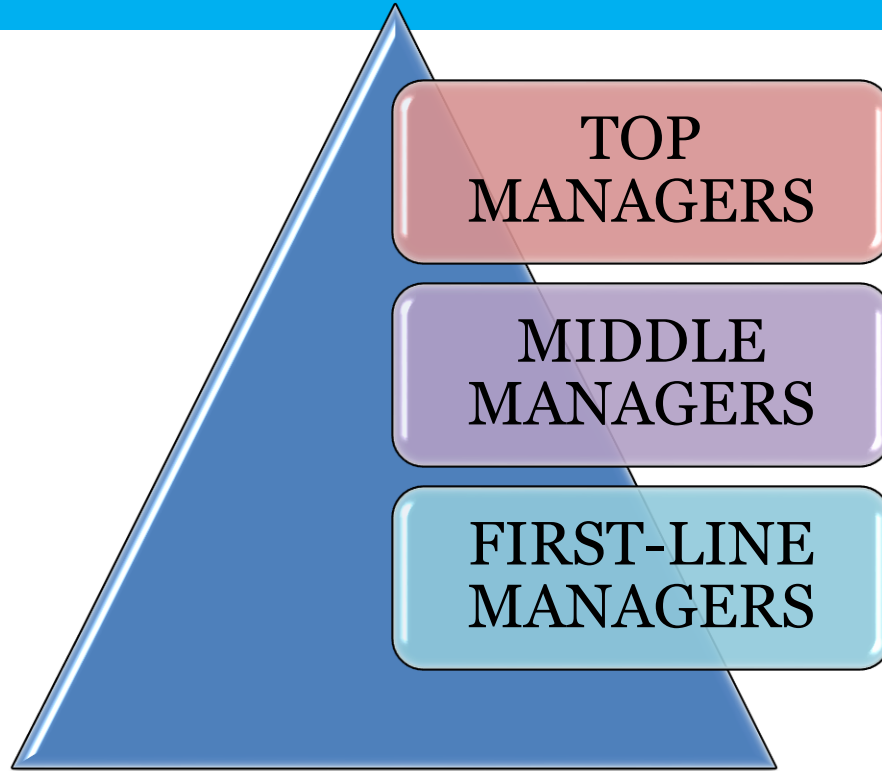
- A **deliberate arrangement of people** to accomplish some specific purpose (that individuals independently could not accomplish alone).

Common **characteristics** of organizations

- Have a *distinct purpose* (goal)
- Composed of *people*
- Have a *deliberate structure*



# MANAGERIAL LEVELS



Organizations generally have three levels of management, represented by top managers, middle managers, and first-line managers.

# WHAT MANAGERS DO

- Three approaches to defining what managers do
  - Functions they perform.
  - Roles they play.
  - Skills they need.

# WHAT MANAGERS DO (contd...)

- **First approach:** Functions that managers perform

**Planning (Goal Directed)**  
Defining goals, establishing strategies to achieve goals, developing plans to integrate and coordinate activities.

**Organizing (Deliberating Structures)**  
Arranging and structuring work to accomplish organizational goals.

**Leading (Dealing with People)**  
Working with and through people to accomplish goals.

**Controlling (Achieve Results)**  
Monitoring activities to ensure that they are accomplished as planned



# MANAGEMENT FUNCTIONS



Management involves four basic activities—*planning and decision making, organizing, leading, and controlling*. Solid arrow shows a basic sequence of activities. Dotted arrows show that most managers engage in more than one activity at a time and often move back and forth between the activities in unpredictable ways (Griffin, 2016).

**Source:** Griffin, R. (2016), *Fundamentals of Management*, Cengage Learning, Boston, USA.

# PLANNING FUNCTION

- Identifying organizational goals and strategies at the time of strategic change, fine tuning
- Managers call meetings and set agendas regarding what will be discussed
- Communicate departmental goals and strategies to people who interact with customers and suppliers
- Designing and encouraging change and innovation
- Negotiating and making incremental change to ongoing plans and resources

# ORGANIZING FUNCTION

- Structures
- Authority
- Departmentalization
- Technology used
- Physical layout
- Office space, budgets, policies
- Resource allocation

# LEADING FUNCTION

- Interpersonal relations
- Communicate with members
- Encouraging and motivating members
- Resolve interpersonal conflicts
- Face to face interaction, staffing training
- Liaisoning and establishing network of relationship with competitors, suppliers, and customers

# CONTROLLING FUNCTION

- Ensure members actions are consistent with organizational values and standards
- Purpose is controlling people and information
- Use of rules, regulation, policies and procedures to control
- Control over internal and external information
- Bureaucratic
- Market control (observation, interaction, questioning)
- Clan control (shared values, norms, beliefs)